Calloway Ridge Valuers Pty Ltd
Property valuation and advisory

Independent Valuation
Footscray Build-to-Rent

Mortgage security valuation of a 214 apartment build-to-rent development at Foots

Prepared for Quillwood Credit Partners
Valuation date 13 March 2026
Version 1.0 Final, for mortgage security purposes
Reference: CRV-VAL-2026-0313-PDL
Date: 13 March 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
Confidential. Prepared for the addressee only and not to be relied on by any other party.

Borrower	Parkline Developments Pty Ltd
ABN	51 912 551 762
Sponsor	Parkline Group Holdings Pty Ltd (trading as Parkline Group)
Property	Proposed 214 apartment build-to-rent project, Footscray VIC
Registered address of borrower	Level 6, 52 Spencer Street, Melbourne VIC 3000
Prepared for	Quillwood Credit Partners
Prepared by	Calloway Ridge Valuers Pty Ltd (lead valuer Sandra Whitlock)
Date of valuation	13 March 2026
Version	1.0 Final

Valuation details

1. Executive summary

Quillwood Credit Partners has instructed Calloway Ridge Valuers Pty Ltd to assess the market value of the Footscray build-to-rent development for mortgage security purposes. The proposed security is a senior secured construction facility of A$96.0M with capitalised interest and a lease-up period, to be advanced to Parkline Developments Pty Ltd, a single-purpose vehicle wholly owned by Parkline Group Holdings Pty Ltd.

We have assessed two values. The first is the market value of the site in its current state, with a planning permit in place and the former industrial buildings demolished. The second is the market value of the completed and stabilised project, held as a single-ownership rental asset under institutional management. Our as-if-complete figure is A$15.0M below the figure in the Information Memorandum dated 9 February 2026, prepared by Orrin Wells Capital Advisory Pty Ltd. The difference arises from a lower adopted average rent and a more conservative capitalisation rate.

Item	Assessment
Market value, as is (land)	A$21.5M
Market value, as if complete and stabilised	A$151.0M
Stabilised revenue	A$9.1M
Stabilised net operating income (NOI)	A$6.95M
Adopted capitalisation rate	4.60%
Adopted average rent	A$800 per week
Value per apartment	A$706,000
Value per square metre of GFA	A$8,436

Table 1: Valuation summary

At the proposed facility limit of A$96.0M, the loan to value ratio (LVR) on the as-if-complete value is 63.6%. Against sponsor total development cost (TDC) of A$142.0M, the loan to cost ratio (LVC) is 67.6%. Sponsor equity of A$46.0M, comprising the A$21.5M land contribution and A$24.5M of cash, funds the balance of cost.

The value is sensitive to the capitalisation rate and to rent. Section 9 shows that a 50 basis point softening in yield reduces value by about A$7.7M, and that the facility would then be 67.0% of value at a 4.85% yield. Lenders should also note that the assessed profit margin on cost is thin: A$9.0M, or 6.3% of TDC, on the sponsor budget.

2. Instructions, basis of valuation and scope

2.1 Instructions

We were instructed by Quillwood Credit Partners to provide an independent valuation to support a lending decision. The lender's legal counsel is Halden Rowe Lawyers. We have no interest in the property, the borrower, the sponsor or the facility, and our fee is not contingent on the value reported or on the facility proceeding.

2.2 Basis of valuation

Market value is the estimated amount for which an asset should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where the parties had each acted knowledgeably, prudently and without compulsion. The as-if-complete value assumes practical completion in accordance with the approved plans and specifications, and stabilised occupancy at market rent. It is stated before any deduction for costs of completion or lease-up, which are addressed in the project budget.

2.3 Information relied on

- Information Memorandum dated 9 February 2026, prepared by Orrin Wells Capital Advisory Pty Ltd.
- Planning permit issued in March 2025 for a 214 apartment build-to-rent development, and the endorsed architectural drawings.
- Lump sum design and construct contract of A$90.2M between Parkline Developments Pty Ltd and Hadley Construct Pty Ltd, executed in December 2025.
- Sponsor development budget showing TDC of A$142.0M.
- Group financial statements of Parkline Group Holdings Pty Ltd dated 6 March 2026, with the auditor identified as Lindqvist Hart Chartered Accountants. We have read these for context only and have not audited or verified them.
- Preliminary cost advice from Brennan Tate Quantity Surveyors Pty Ltd (lead Owen Brennan), the lender's quantity surveyor. The final report is pending and is not relied on for the value, but is used in the sensitivity analysis in Section 9.

2.4 Inspection

We inspected the site on 4 March 2026. Demolition of the existing industrial buildings was completed in January 2026 and the site was cleared and fenced. We did not undertake soil testing, structural, environmental or services investigations, and we have assumed that no contamination or latent conditions exist that would affect the value or the construction programme.

3. The project

3.1 Vehicle and sponsor

Parkline Developments Pty Ltd was incorporated in May 2023 as the project vehicle. It acquired the Footscray site in August 2023 for A$21.5M, funded from the sponsor's balance sheet cash. The sponsor, Parkline Group Holdings Pty Ltd, trades as Parkline Group and was founded in Melbourne in 2009 as a mixed-use and residential developer. The directors of the borrower are Matthew Hargreaves (Director and Group Chief Executive Officer), Priya Coghlan (Director and Group Chief Financial Officer) and Daniel Kostas (Director and Head of Development). The proposed operator is Parkline Living Pty Ltd, a related entity.

3.2 Description

The project comprises one residential tower on a podium, with a gross floor area (GFA) of 17,900 square metres. It includes 214 apartments in studio, one, two and three bedroom configurations, resident amenity space, ground floor retail and basement parking. The apartments will be held as a single-ownership rental asset under institutional management. No apartments will be sold, and there are no presales to protect lease-up.

Apartment type	Number	Share (%)	Adopted rent (A$ pw)
Studio	43	20.1	560
One bedroom	81	37.9	720
Two bedroom	73	34.1	940
Three bedroom	17	7.9	1,200
Total / weighted average	**214**	**100.0**	**801**

Table 2: Apartment mix and adopted rents (weighted average rounded to A$800 per week)

3.3 Construction and funding

Hadley Construct Pty Ltd is engaged under a lump sum design and construct contract of A$90.2M, equal to about A$5,039 per square metre of GFA. The construction period is 24 months. TDC is budgeted by the sponsor at A$142.0M, or about A$7,933 per square metre of GFA. The contingency allowance is A$4.5M, about 3.2% of TDC.

Cost item	A$M	Share of TDC (%)
Land (sponsor contribution)	21.5	15.1
Hadley Construct lump sum contract	90.2	63.5
Contingency	4.5	3.2
Professional fees and project management	6.4	4.5
Statutory charges and levies	3.9	2.7
Interest and finance costs (capitalised)	13.0	9.2
Leasing, marketing and opening costs	2.5	1.8
Total development cost	**142.0**	**100.0**

Table 3: Sponsor development budget (non-land items as presented in the IM budget summary; unaudited)

The facility of A$96.0M and sponsor equity of A$46.0M together fund the A$142.0M budget. The sponsor equity is to be injected first. The facility term is 42 months, comprising the 24 month construction period and an 18 month lease-up period. The sponsor intends to refinance with a term investment facility, or to sell the stabilised asset, after lease-up.

4. Location and market

4.1 Location

The site is at Footscray, about five kilometres west of the Melbourne CBD and close to Footscray railway station. The station provides direct services to the CBD and connects to regional lines. The surrounding precinct is in transition from industrial and older low-rise use to medium and high density residential, supported by a retail centre, a hospital, a university campus and the Maribyrnong River open space. Amenity is mixed. Pedestrian connections to the station are good, but streetscape quality varies and some adjoining blocks remain industrial.

4.2 Build-to-rent market

Institutional build-to-rent stock in Melbourne is a young asset class with a limited sales history. Buyers are mainly superannuation funds, offshore capital and large managers, and pricing is driven by expected stabilised yield, the quality of the operator and the depth of the rental market. Inner west locations such as Footscray offer lower entry prices than the inner north and inner east, but rents are also lower and the investor pool is thinner. A considerable pipeline of new apartment supply in the western suburbs is expected over the construction period and lease-up. This is the main market risk to the rent we have adopted.

5. Planning and site

A planning permit for a 214 apartment build-to-rent development was issued in March 2025. We have assumed that the permit is current, that all conditions can be satisfied, and that building permits will be obtained without material change to the design. The site is cleared following the demolition completed in January 2026. We have assumed good title, no adverse easements, and no unregistered interests, and we recommend that Halden Rowe Lawyers confirm these matters.

6. Valuation approach

6.1 Methodology

The primary approach is income capitalisation of stabilised NOI, cross-checked by direct comparison of sales of built build-to-rent assets on a rate per apartment. We have also tested the value against the development margin and yield on cost. The as-is land value is supported by direct comparison of development site sales on a rate per square metre of GFA and per apartment.

6.2 Rent assessment

We adopt a weighted average rent of A$800 per week, which is A$45 per week below the A$845 per week in the Information Memorandum. Our evidence is current asking and achieved rents for recently completed apartment buildings in Footscray, Yarraville, Maribyrnong and the adjoining inner west. New stock achieves a premium over older stock, but that premium narrows in locations with heavy concurrent supply. The IM figure would require a premium that we cannot support from the evidence, particularly for studio and one bedroom apartments, and particularly during lease-up.

At A$800 per week, gross potential residential rent is about A$8.9M a year. Retail, parking and ancillary income of about A$0.2M brings stabilised revenue to A$9.1M.

6.3 Net operating income

Outgoings, management fees, a vacancy and collection allowance and a capital replacement reserve total A$2.15M, or 23.6% of revenue. This gives stabilised NOI of A$6.95M. The expense ratio is higher than for traditional investment residential property because operating costs include on-site staffing, amenity operation, utilities, marketing and operator fees. We have not capitalised any incentives or rent-free periods, which are a cost of lease-up and should be funded from the project budget.

6.4 Capitalisation rate

Recent evidence of sales of completed build-to-rent assets in Melbourne is summarised below. Identities are held on our file.

Ref	Asset	Sale	Yield (%)	A$ per apt
A	Completed, inner north, 238 apts	Sep 2025	4.35	742,000
B	Completed, inner west, 192 apts	Jun 2025	4.55	688,000
C	Stabilised, south east, 305 apts	Nov 2025	4.80	615,000
D	Forward funded, west, 180 apts	Feb 2025	4.70	655,000

Table 4: Build-to-rent sales evidence (summary)

The evidence ranges from 4.35% to 4.80%. Comparable A is superior in location and tenant demand. Comparable C is a larger stabilised asset in a lower rent area and sold at the top of the range. We adopt 4.60%, which reflects the mid-range of the evidence, with a premium for Footscray's western location, the absence of an operating track record at Parkline Living Pty Ltd, and exposure to new supply, offset by proximity to the station and the single-ownership structure.

6.5 Capitalisation result

Stabilised NOI of A$6.95M capitalised at 4.60% gives A$151.1M, which we round to A$151.0M. This equates to A$706,000 per apartment and A$8,436 per square metre of GFA, which sits within the range of the sales evidence per apartment after adjusting for location and apartment mix.

6.6 Development cross-check

On the sponsor budget, stabilised NOI of A$6.95M represents a yield on cost of 4.89% (A$6.95M over A$142.0M). This is only about 29 basis points above the adopted capitalisation rate. The profit on cost is A$9.0M, or 6.3%. Neither is a comfortable margin for a development with construction, lease-up and exit risk, and both depend on the cost holding at budget.

6.7 As-is land value

We assess the as-is market value of the site, with permit and demolition complete, at A$21.5M, equal to the August 2023 acquisition price. This equates to about A$1,201 per square metre of GFA and A$100,500 per apartment. Evidence of development site sales for permitted residential sites in the inner west supports this range, though the market for large sites has been quiet since the acquisition. The permit and the completed demolition have added value, and this has offset softer site demand.

7. Reconciliation to the Information Memorandum

The table below compares the key metrics in the Information Memorandum with the independent figures used in this report.

Metric	IM	Independent	Difference
As-if-complete value	A$166.0M	A$151.0M	A$15.0M
Hard construction cost	A$90.2M	A$93.4M	A$3.2M
Total development cost	A$142.0M	A$145.2M	A$3.2M
Average rent	A$845 pw	A$800 pw	A$45 pw

Table 5: IM figures compared with independent figures

The A$166.0M in the IM implies a stabilised yield of about 4.4% on revenue at A$845 per week and our expense ratio. If the IM value were capitalised at our NOI of A$6.95M, it would imply a yield of about 4.2%, which is below all of the sales evidence we reviewed. We consider the IM figure to rely on both a higher rent and a tighter yield than the market currently supports.

The independent hard cost of A$93.4M and TDC of A$145.2M are the preliminary assessment of Brennan Tate, which is A$3.2M above the sponsor budget. The final report from Brennan Tate is not yet issued. These costs do not change our market value of the completed asset, but they do change lending metrics, as shown in the next section.

8. Lending metrics

Metric	Sponsor TDC	Independent TDC
Total development cost	A$142.0M	A$145.2M
Facility limit	A$96.0M	A$96.0M
Sponsor equity	A$46.0M	A$46.0M
LVR on A$151.0M	63.6%	63.6%
LVC	67.6%	66.1%
Profit on cost	6.3%	4.0%
Yield on cost	4.89%	4.79%
Debt yield (NOI over facility)	7.2%	7.2%

Table 6: Lending metrics at full drawing

LVC falls to 66.1% on the independent TDC only because the facility limit is held at A$96.0M. In practice, the A$3.2M increase would have to be met by additional equity or contingency. Without it, the funding gap would sit with the sponsor, whose net debt to EBITDA is 5.5x (net debt A$212.0M on EBITDA of A$38.4M). The profit on cost falls to A$5.8M, or 4.0%, at the independent TDC.

The debt yield of 7.2% is the stabilised NOI over the facility limit. The facility margin is 4.75% over three month BBSW, so NOI covers the interest on A$96.0M only where BBSW is below about 2.5%. Repayment at stabilisation will therefore depend on refinance or sale, and not on operating cash flow.

9. Sensitivity analysis

The table and chart below show how the as-if-complete value and the LVR on a A$96.0M facility respond to changes in the capitalisation rate, with NOI unchanged at A$6.95M.

Cap rate (%)	Value (A$M)	LVR (%)
4.10	169.5	56.6
4.35	159.8	60.1
4.60 (adopted)	151.0	63.6
4.85	143.3	67.0
5.10	136.3	70.4

Table 7: Sensitivity of value and LVR to capitalisation rate

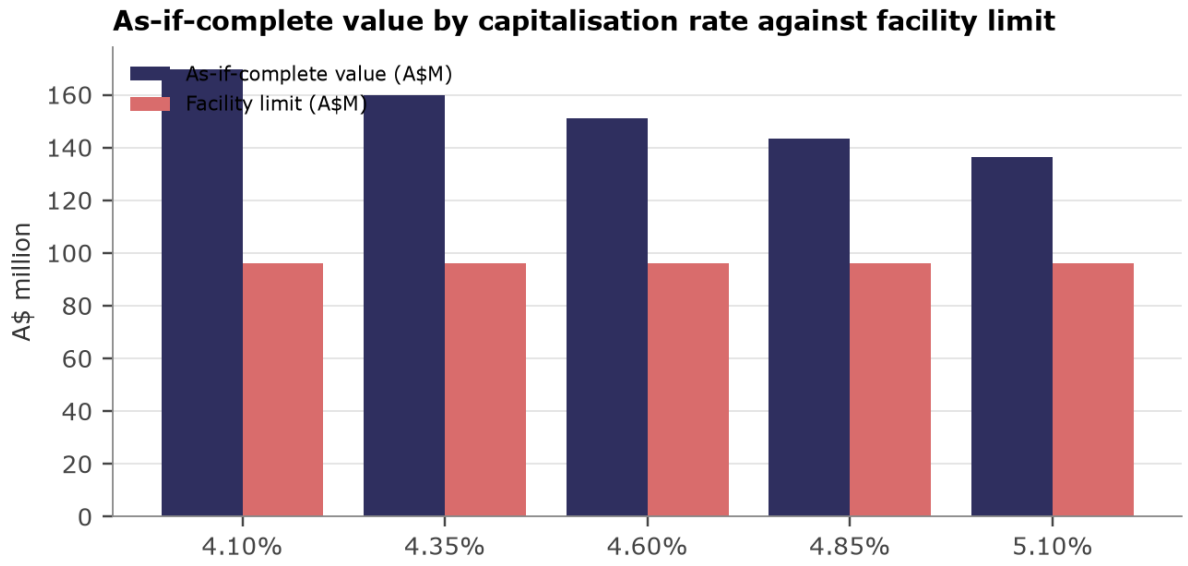


Figure 1: Value at alternative capitalisation rates, NOI A$6.95M

Rent also drives value. At A$845 per week, as in the IM, NOI would be about A$7.33M and value about A$159.4M at 4.60%. At A$750 per week, NOI would be about A$6.53M and value about A$141.9M, which would take the LVR to 67.7%. A fall in rent of A$50 per week therefore has a similar effect to a 40 to 50 basis point softening in yield. The combined downside of lower rent and a higher yield would reduce the LVR cushion significantly.

10. Key valuation risks

- Construction cost: preliminary QS advice is A$3.2M above the sponsor budget, and the A$4.5M contingency (about 3.2% of TDC) is thin for a project with provisional sums. Cost overruns would erode the already modest profit on cost.
- Valuation and exit: our value is A$15.0M below the IM, and the capitalisation rate is sensitive to investor appetite for build-to-rent stock in Melbourne's west. A weaker exit market would affect refinance and sale outcomes alike.
- Lease-up: there is no presale protection. The 18 month lease-up relies on achieving an average rent of A$800 per week in a market with significant new rental supply. Slower lease-up or higher incentives would reduce value on completion and increase interest cost.
- Interest cover: at full drawing and indicative pricing, stabilised NOI does not cover interest on A$96.0M, so repayment depends on refinance or sale at stabilisation.
- Sponsor leverage: group net debt to EBITDA of 5.5x limits capacity to fund overruns or interest shortfalls from outside the project.
- Builder concentration: Hadley Construct Pty Ltd is engaged on a single fixed-price contract. Insolvency and delay risk depend on its security package and balance sheet, which we have not assessed.
- Operator: Parkline Living Pty Ltd is a related-party operator, and its track record and fee terms affect the expense ratio we have adopted.

11. Assumptions and qualifications

- The value is of the freehold interest, free of encumbrances other than those customary for a development of this type, and assumes the project is completed in accordance with the permit, the Hadley Construct contract and the endorsed plans.
- The as-if-complete value is a hypothetical value as at the valuation date and is not a forecast of the value at completion in about 24 months. Market conditions at that time may differ materially.

- We have not verified the construction contract terms, security package, programme, builder solvency or compliance with building regulations. These are matters for the lender's legal counsel and quantity surveyor.
- We have relied on the IM and sponsor information as supplied, and we have not audited it.
- Goods and services tax has been excluded from all values. We have not considered stamp duty or other transaction costs on a sale.
- This valuation should be reviewed if the final quantity surveyor's report, the construction contract or the planning permit conditions differ materially from the information provided. We recommend a revaluation on practical completion and before any refinance.
- This report is for the sole use of Quillwood Credit Partners for mortgage security purposes. No responsibility is accepted to any other party. Publication in whole or in part requires our written consent.

12. Valuation certificate

We certify that, subject to the assumptions and qualifications in this report, the market value of the freehold interest in the Footscray build-to-rent project as at 13 March 2026 is:

Basis	Market value	Rate
As is (land with permit, demolition complete)	A$21.5M	A$100,500 per apartment
As if complete and stabilised	A$151.0M	A$706,000 per apartment

Table 8: Certified market values at 13 March 2026

Valuer	Sandra Whitlock, Certified Practising Valuer, Calloway Ridge Valuers Pty Ltd
Signed	Sandra Whitlock
Date	13 March 2026
Prepared for	Quillwood Credit Partners

Sign-off